

**LAW5562M – International Banking Law: The Regulatory Framework****MODULE STRUCTURE**

Academic year 2026/27 · Semester 1 · 15 credits

Module format and overview

Our module comprises ten 90-minute workshops combining lecture, discussion and applied exercises. Please, consult the University timetable for the day, time and room.

This module examines how banks operate and how banking law allocates risk, decision-making authority and losses. It combines bank corporate finance, legal analysis, law and economics, comparative institutional analysis and public choice. The United Kingdom is the principal legal reference point, alongside international standards and selected historical and national comparisons.

We begin with bank services, the balance sheet and the income model. We then examine fragility and safety nets, capital and liquidity, international political bargains and supervisory judgement. Historical episodes reveal how policy choices change incentives and can generate demands for subsequent intervention. The later workshops further develop bank crisis management procedures and the challenges of emerging financial technologies.

Students should distinguish accounting identities, legal propositions, economic mechanisms, empirical findings and policy recommendations. Neither prevailing market arrangements nor current regulatory compromises are presumed to be optimal. Thereby, reasoned disagreement is welcome and conclusions must withstand robust counterarguments.

Teaching team and contact

Pedro M. Batista, module leader, leads Workshops 1-6. Office hours: Tuesday 10:00–11:00 and Wednesday 14:00–15:00. Module enquiries: p.magalhaesbatista@leeds.ac.uk.

Dr Virág Blazsek leads Workshops 7–8. Office hours: Monday 14:30–15:30 and Wednesday 09:00–10:00, by appointment.

Dr Ci Ren leads Workshops 9–10. Office hours: Monday 10:00–11:00 and Tuesday 10:00–11:00, by appointment.

Further staff contact details are provided on Minerva.

Learning outcomes

- Explain lending, payments, monitoring and liquidity transformation, and interpret a simplified bank balance sheet and income statement.
- Trace equity, debt, earnings, payouts and losses; distinguish profitability, solvency, funding liquidity and market liquidity.
- Explain leverage, required returns, agency conflicts and the distinction between private and social financing costs.
- Compare theories of regulation and evaluate market arrangements and public intervention under explicit information, incentive and enforcement constraints.
- Reconstruct historical policy choices, identify intended and unintended effects, and assess alternative institutional paths without hindsight determinism.
- Apply simplified capital and liquidity measures while distinguishing international standards, domestic law, supervisory expectations and proposals.



- Analyse political coalitions, cross-border legal entities, home–host incentives and credible allocation of resources and losses.
- Evaluate supervisory decisions using contemporaneous evidence, lawful powers, institutional incentives and mechanisms for correcting action or inaction.
- Compare resolution, bail-in, bail-out and deposit insurance, and analyse how financial technology changes banking functions, competition and regulatory questions.
- Develop an independent, evidence-based argument for a specific legal or policy choice, addressing its strongest downside, feasibility and the evidence that could overturn it.

Workshop schedule

No.	Week commencing	Workshop / lead
1	2026-09-28	Banks, money and the balance sheet Pedro M. Batista
2	2026-10-05	Fragility, safety nets and regulatory objectives Pedro M. Batista
3	2026-10-12	Equity, leverage and capital regulation Pedro M. Batista
4	2026-10-19	Liquidity regulation and system-wide effects Pedro M. Batista
5	2026-10-26	International architecture and political bargains Pedro M. Batista
6	2026-11-02	Supervisory judgement, incentives and accountability Pedro M. Batista
7	2026-11-09	Financial Crisis Management I: Resolution Frameworks Dr Virág Blazsek
8	2026-11-16	Financial Crisis Management II: Bail-in and Deposit Insurance Dr Virág Blazsek
9	2026-11-23	Understanding Fintech Dr Ci Ren
10	2026-11-30	Fintech in Banking Institutions Dr Ci Ren

Financial and prudential foundations

Workshop 1. Banks, money and the balance sheet

- Trace lending, settlement, repayment, losses and earnings through a bank’s accounts.
- Explain what bank customers buy and how a bank earns income and finances its assets.
- Distinguish financial functions from legal categories and test the value of a lending relationship.

Workshop 2. Fragility, safety nets and regulatory objectives

- Distinguish a run, its causes and its effects using a model and evidence.



- Compare public-interest, capture and comparative-institutional accounts of regulation.
- Trace how a safety-net choice changes later private incentives and public decisions.

Workshop 3. Equity, leverage and capital regulation

- Explain loss absorption, leverage, risk-adjusted returns and private versus social financing costs.
- Compare equity issuance, earnings retention and asset contraction, including shareholder–creditor conflicts.
- Apply capital measures and evaluate regulatory classifications, transition design and evidence.

Workshop 4. Liquidity regulation and system-wide effects

- Distinguish asset duration, deposit-franchise value, funding maturity and operational liquidity.
- Calculate simplified liquidity ratios and an executable cash-and-collateral plan.
- Trace common-asset and margin effects and test whether different institutions’ plans can coexist.

Workshop 5. International architecture and political bargains

- Explain how historical coalitions shape banking entry, credit allocation and loss-bearing.
- Distinguish an international standard, domestic power and enforceable cross-border commitment.
- Analyse home–host incentives, resource transferability, proportionality and controlled regulatory variation.

Workshop 6. Supervisory judgement, incentives and accountability

- Use market information without confusing informational efficiency with social optimality.
- Evaluate intervention and restraint against contemporaneous information, powers and incentives.
- Combine the course’s financial, historical and institutional analysis in a specific defensible decision.

Crisis management and resolution

Workshop 7. Financial Crisis Management I: Resolution Frameworks

- Explain financial crisis management and resolution, and why ordinary insolvency may be unsuitable for banks.
- Trace lessons from the global financial crisis and the development of subsequent international standards.
- Compare the UK, US, EU and Chinese resolution frameworks.

Workshop 8. Financial Crisis Management II: Bail-in and Deposit Insurance

- Explain crisis prevention and management through living wills, stress tests and recovery and resolution planning.
- Compare bail-out and bail-in, including loss allocation, public costs and moral hazard.



- Analyse international and national models of deposit insurance and guarantee schemes.

Financial technology and banking innovation

Workshop 9. Understanding Fintech

- Explain the continuing functions of finance and the distinctive characteristics of fintech.
- Examine artificial intelligence, blockchain and cloud computing as forms of technological innovation in finance.
- Analyse the roles of data, big data and e-commerce in fintech.

Workshop 10. Fintech in Banking Institutions

- Analyse market structure, concentration and the too-big-to-fail question in banking.
- Compare the business models and development of digital challenger banks across institutional settings.
- Evaluate the application of existing regulatory frameworks to technological and organisational change.

Preparation, participation and readings

Required readings are organised by workshop, with exact excerpts, access routes and preparation questions. Preparation normally amounts to approximately 50 pages of selected material. There is no prescribed textbook, casebook or separate statutory supplement, and no book purchase is required.

The reading lists combine classical scholarship with contemporary academic research, public historical accounts and selected primary legal materials. Workshop questions develop and revisit concepts through transactions, cases, empirical comparisons and institutional choices. Contemporary journalism may also be used selectively as a claim to be debated during workshops.

Workshops include both individual and group reflection. Attempt the calculations and analysis before class without worrying about producing perfect answers. No prior finance qualification or mastery of formal econometrics is required.

Optional reference books

John Armour et al., *Principles of Financial Regulation* (Oxford University Press, 2016).

Iris H-Y Chiu and Joanna Wilson, *Banking Law and Regulation* (Oxford University Press, 2019).

Anat Admati and Martin Hellwig, *The Bankers' New Clothes: What's Wrong with Banking and What to Do about It*, new and expanded ed. (Princeton University Press, 2024).

Charles W. Calomiris and Stephen H. Haber, *Fragile by Design* (Princeton University Press, 2014).

Anjan V. Thakor, *The Purpose of Banking* (Oxford University Press, 2019).

Lawrence H. White, *The Theory of Monetary Institutions* (Blackwell, 1999).

Edward J. Kane, *The S&L Insurance Mess: How Did It Happen?* (Urban Institute Press, 1989).

Virág Blazsek, *Banking Bailout Law* (Routledge, 2020).

Lerong Lu, *Global Fintech Revolution* (Oxford University Press, 2024).



Dan Awrey, *Beyond Banks* (Princeton University Press, 2024).

Feedback and assessment

Formative assessment: a 500-word written exercise exploring a contemporary issue in banking regulation, with individual feedback through Minerva, an annotated sample and cohort feedback. The exercise will support the development of critical analysis, engagement with relevant sources and consideration of competing perspectives. The planned period is mid-November 2026; the task and precise deadline will be announced separately.

Summative assessment: a 3,000-word written assignment (100%), drawing on themes covered in the module and requiring critical engagement with banking regulation and policy. Students will be expected to develop a reasoned argument, informed by relevant sources and attentive to the objectives, implications and trade-offs of regulatory choices. The School-approved assessment brief will confirm the format, task, marking and submission requirements. The planned period is December 2026/January 2027; no precise deadline is yet confirmed.

Where a question asks for reform, identify a specific change, its financial mechanism and legal route. Address behavioural responses, the strongest downside and a feasible alternative. Explain non-adoption through both incentives and legitimate objections. The School's marking criteria address Research and Understanding; Argument and Analysis; Structure and Coherence; Presentation; and Referencing and Bibliography. Use pinpoint references for specific claims. Assessment rewards justified reasoning and defensible alternatives, not agreement with a lecturer.

Academic integrity and support

Follow the approved 2026/27 guidance on academic integrity, declarations, generative AI, assistance and referencing. Classroom collaboration does not authorise assistance on assessed work. Raise accessibility needs with the teaching team; use School procedures for extensions and assessment difficulties.